

NORWAY 2005

1. Overview of the system

In Norway, the unemployment insurance scheme is part of the National Insurance Scheme (NIS). Unemployment benefits are calculated as a percentage of previous earnings, and are taxable. The benefit period is limited to 3 years. Social economic assistance may be granted to the individual and may cover all housing costs. In most cases, the tax unit is the individual.

A crucial factor in calculating the benefits is the "basic amount" (G). The basic amount is NOK 60 699 from 1 May 2005 which is also the amount per 1 July 2005. Even though the year's average G is not equal to G per 1 May, we stick at NOK 60 699 during this survey.

1.1. *Average wage (AW)*

The estimated 2005 AW level is NOK 378 498¹.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2004-2005, OECD, 2005, part 5, sections 2 and 3.

2. Unemployment insurance

2.1 Conditions for receipt

A precondition for entitlement to daily cash benefits during unemployment is that the person concerned must have had an income from work of at least 1.5 times the basic amount the preceding calendar year or an income from work which at least equals the basic amount as an average during the three preceding calendar years. Income from participation in labour market measures no longer qualifies.

2.2 Calculation of benefit amount

The calculation of daily cash benefits is based on income from work, income from job creation measures, daily cash benefits during unemployment, sickness, maternity and adoption. The calculation basis is the highest of either the income of the last preceding calendar year or the average over the last three preceding calendar years.

2.2.1 Calculation of gross benefit

The benefit rate per day is 0.24 per cent of the calculation basis and is paid five days a week. This will normally give an annual compensation of 62.4 per cent of the calculation basis. The maximal benefit basis is 6 times the basic amount (NOK 364 194 in 2005). The maximum amount per week thus is NOK 4 370.

A supplement of NOK 17 per day (NOK 85 per week) is granted for each dependent child under the age of 18.

2.2.2 Income and earnings disregards

Daily cash benefits are related to the reduction in working hours per week. Working hours must have been reduced by at least 50 per cent as compared to previous working hours.

2.3 Tax treatment of benefit

Taxable as personal income, see section 10.1.2.

2.4 Benefit duration

Daily cash benefits are payable for five days a week and are granted if the person concerned has been unemployed five of the last fifteen working days while being registered at the employment office as a bona-fide applicant for work.

The benefit period varies depending on earlier income from work. Income from work amounting to at least twice the basic amount gives a benefit period of 104 weeks (2 years). Income amounting to less than twice the basic amount gives a period of 52 weeks (1 year).

When the initial period expires, a subsequent benefit period may only be granted provided that the requirement concerning previous income from work, also during the previous benefit period, is met (see section 2.1). There are no special conditions concerning a subsequent benefit period.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

No special treatment.

2.5.2 *Older workers*

Persons above the age of 64 are guaranteed three times the basic amount, and their benefits are paid indefinitely until the age of 67.

3. Unemployment assistance

Up to July 2008, a so-called “waiting benefit” (ventestønad) was paid to long-term unemployed persons. The “waiting benefit” was paid if the claimant had worked at least three years during the past four years, and had exceeded the period of entitlement to unemployment insurance benefits, but had no maximum duration. However, the benefit was intended to be temporary while waiting for suitable labour market measures or work. In 2007, there were on average 1 900 waiting-benefit recipients in total. The “waiting benefit” was terminated from July 2008 onwards.

4. Social assistance

Social Economic Assistance (SEA) is complementary to all other subsistence allowances and is provided as a last resort assistance (safety net). Municipalities are responsible for providing SEA.

4.1 Conditions for receipt

SEA is a means-tested benefit. Only residents in Norway are entitled to SEA. The assistance may be conditional (requirement to work for the municipality, active job search, participation in labour market training, etc.).

4.2 Calculation of benefit amount

The benefit unit is always the individual, but the resource unit is the dependent family. SEA is granted according to the local social workers’ discretion. The Ministry of Health and Social Affairs in 2001 set governmental guidelines on reasonable amounts. The guidelines were revised in 2002. The latest price adjustment of the guidelines took place in 2004. The municipalities also set local guidelines. In this report, the data for subsistence allowance is based on the governmental guidelines, while the housing allowance data is based on the guidelines of the municipality of Trondheim.

4.2.1 Calculation of gross benefit

Guidelines for social assistance

Household type; NOK/month	2005
Single person	4 140
Couples (married or cohabitating)	6 880
Cohabitating, single person benefit	3 440
Children 0-5 yrs.	1 580
Children 6-10 yrs.	2 090
Children 11-17 yrs.	2 640

Remarks:

1. Child care cash benefit (children 1-2 yrs.) included in income calculation base for social assistance
2. Family, basic, and attendance benefits excluded from income base

Guidelines for housing benefit (excl. heating/electricity)²

NOK/month	2005
Youth under 25 yrs. (single rooms, shared flats)	3 300
Single person over 25 yrs, no children (single-room flat)	4 100
Couple (married or cohabitating), no children (two-room flat)	5 600
Lone parent, one child (two-room flat)	5 600
Any household with two small children or one older child (three-room flat)	7 000
Any household with three children (four-room flat)	9 100

Estimated heating/electricity expenses as a function of household income (NOK/year)

Household income	2005
Less than 200 000	8 859
200 000 - 299 999	11 884

Remark:

Electricity consumption in 2001 multiplied by average price in 2005.

Source: Statistics Norway

4.2.2 Income and earnings disregards

SEA is withdrawn 100 per cent against all income and income support: salary from work, benefits from the National Insurance Scheme (unemployment benefit, disability benefits, old age pension etc.), the Family Allowance Scheme and the Scheme for Cash Benefit for Families with Small Children, Housing allowances provided by the Housing Support Scheme etc.

4.3 Tax treatment of benefit

Not taxable.

4.4 Benefit duration

Intended for temporary relief only, but currently not subject to any binding time limitation.

4.5 Treatment of particular groups

4.5.1 Young persons

Participation in labour market programmes is usually required.

² For beneficiaries of social economic assistance, the housing benefit is generally set and provided by the municipality. In the event that a beneficiary of social economic assistance is also eligible for the governmental housing benefit (as described in the Housing Benefits section), the governmental benefit is included in the above (municipal) amounts. This follows from the fact that social economic assistance is a subsidiary benefit.

4.5.2 *Older workers*

None.

5. **Housing benefits**

There is a special government housing benefit - housing allowance - for persons with a combination of low income and high housing costs. The benefit depends on the household's total resources and housing costs. The average yearly amount is NOK 19 479 in 2005. The average yearly housing expenses in households receiving housing allowance is NOK 55 158 in 2005, and the average yearly income is NOK 102 871.

The following groups were eligible for the special housing benefit in 2005:

- Recipients of pensions or allowances from the National Insurance Scheme (NIS) or comparable pension benefits.
- Recipients of Social Economic Assistance (SEA), see section 4.
- Elderly persons (from the age of 65).
- Households with children under the age of 18.
- Recipients of introductory support (for immigrants)

Maximum income per year for eligible households with children under the age of 18 and recipients of Social Economic Assistance (SEA) was:

- Larger urban areas:
 - For one-person and two-person households: NOK 159 400 (Oslo: NOK 165 000).
 - For households with three persons: NOK 173 000 (Oslo: NOK 178 200).
- Smaller urban areas:
 - For one-person and two-person households: NOK 153 700.
 - For households with three persons: NOK 167 100.
- Other areas:
 - For one-person and two-person households: NOK 147 400.
 - For households with three persons: NOK 161 400.

The housing allowance is calculated as 70 per cent of the difference between the actual and a standard ("reasonable") housing expense, the standards being tabulated below. For housing provided by the municipality this rate is 80 per cent. The standards are calculated on the basis of an increasing percentage above a specified income level. The maximum housing expenses, recognised for the purpose of calculating the housing allowance, are also given in the table.

Number of persons in household	Maximum expense/year (in NOK)			Standard expense/year		
	Larger urban areas	Smaller urban areas	Other areas	Minimum (NOK)	17% of income (NOK) in the interval	17% +(0.3 percentage points/additional NOK 1000 in income) * total income, for income exceeding
One or two	65 000- 70 000	60 000	55 000	13 940	82 000 - 86 000	86 001
Three	69 500 - 74 500	64 500	59 500	16 490	97 000 – 101 000	101 001
Four	74 000 – 79 000	69 000	64 000	18 190	107 000 – 111 000	111 001

Please observe that our calculations, cf. the enclosed tables, are based on the assumption that actual housing expenses correspond to the upper bound of maximum expenses in "larger urban areas".

6. Family benefits

6.1 *Conditions for receipt*

Family benefits are paid only to families with dependent children. Each child under the age of 18 qualifies.

6.2 *Calculation of benefit amount*

6.2.1 *Calculation of gross benefit*

The benefit is NOK 11 640 per dependent child per year. Lone parents receive benefits for one child more than the actual number of children.

An annual supplement of NOK 7 920 is granted for lone parents with wage income or unemployment benefits less than half the basic amount (*i.e.* receiving full transitional benefit, see section 9.2.1), independent of the actual number of children as long as at least one child is younger than three years old.

6.2.2 *Income and earnings disregards*

None.

6.3 *Tax treatment of benefit*

Not taxable.

6.4 *Treatment of particular groups*

None.

7. **Childcare for pre-school children**

The compulsory schooling starts at six.

7.1 ***Out-of-pocket childcare fees paid by parents***

An upper limit on childcare fees paid by parents was set to NOK 2 750 from 1 May 2004. In addition there are discounts for siblings, these amounts to a minimum of 30 per cent for the second child and 50 per cent for the third and fourth child and so forth. Parents can also receive further discounts depending on their on their income level.

If the family can document child-care expenses for children younger than 12 years, the couple will get a deduction in ordinary income up to NOK 25 000 for one child and, from 2005, an addition of NOK 5 000 for each subsequent child. E.g. the maximum parent allowance for documented childcare costs for four children is NOK 40 000.

The allowance applies in general to the spouse who has the highest income. Unused parent allowance may be transferred to spouse. The allowance is also applicable to single parents.

7.2 ***Child-care benefits***

For children aged 1 and 2 who are not in a public owned/run kindergarten, the parent/parents receives/receive a non-taxable cash amount of NOK 43 884 per child per year. For part-time use of public kindergarten, the cash amounts in 2005 are as described:

Until 8 hours a week: 80 per cent of NOK 43 884;
9-16 hours a week: 60 per cent of NOK 43 884;
17-24 hours a week: 40 per cent of NOK 43 884;
25-32 hours a week: 20 per cent of NOK 43 884;
33 hours or more per week: nought

7.2.1 *Conditions for receipt*

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

7.2.2.2 Income and earnings disregards

7.2.3 *Tax treatment of benefit and interaction with other benefits*

7.2.4 *Treatment of particular groups*

Benefits available for childcare expenses for single parents cf. paragraph 9.

8. Employment-conditional benefits

None.

9. Lone parent benefits

Lone parents are entitled to National Insurance Scheme benefits: Transitional allowance, education benefits and, when required due to professional or educational qualification activities, a supplementary child care benefit.

9.1 Conditions for receipt

Lone parents are entitled to benefits if unmarried, divorced or separated and neither living together with a person who is not the child's/children's other parent. A benefit is not granted if the single parent has had a cohabitant during 12 of the last 18 months.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

Full transitional benefit is equivalent to 1.85 times the basic amount (see section 1 above), that is, NOK 112 293 in 2005, reduced by 40 per cent of wage and unemployment insurance exceeding one half of the basic amount, that is, NOK 30 350 in 2005.

Maximum child care benefit for lone parents in 2005:

- One child NOK 33 144.
- Two children NOK 43 236.
- At least three children NOK 48 996.

The actual benefit granted is 64 per cent of documented expenses up to these maximum benefit levels in 2005. If the single parent has income above 6 G, there is no benefit granted at all. Please notice that the amount of benefit granted affects the allowance for childcare expenses cf. paragraph 10.1.1, fourth bullet point. The actual allowance for single parents for childcare expenses is the difference between the expenses and the received childcare benefit, yet limited by NOK 25 000 for one child, NOK 30 000 for two children and so on, increasing by NOK 5 000 per subsequent child, cf. paragraph 7.1.

9.2.2 Income and earnings disregards

See above reduction of transitional allowance depending on age and income from unemployment insurance.

9.3 Tax treatment of benefit

The transitional allowance is taxable as pension income. The child care benefits are not subject to taxation.

9.4 *Benefit duration*

The transitional benefit is limited to a period of three years after the birth of the youngest child, but may be extended for another two years when the lone parent engages in professional qualification (in which case a contribution towards the extra cost will be added).

9.5 *Treatment of particular groups*

None.

10. Tax system

Both central and local government taxes are payable.

10.1 Income tax rate schedule

10.1.1 Tax allowances and credits

Tax allowances/credits (ordinary income):

- For tax on ordinary income a flat allowance exists (NOK 34 200 class 1, NOK 68 400 class 2).
- Unemployment insurance is treated like wage income.
- Basic relief of 30 per cent of wage income, including unemployment benefit. The relief is bound by a minimum of NOK 4 000 and a maximum of NOK 57 400. For wage income (incl. unemployment benefit) each individual can choose a separate allowance of NOK 31 800 instead of the basic relief.
- Basic relief of 24 per cent of pension income, including single parents' transitional benefit. The relief is bound by a minimum of NOK 4 000 and a maximum of NOK 49 400.
- The sum of basic relief of wage/unemployment benefit and pension/single parents' transitional benefit can not exceed NOK 57 400.
- If the family documents child-care expenses for children younger than 12 years, the couple will get a deduction in ordinary income up to NOK 25 000 for one child and, from 2005, an addition of NOK 5 000 for each subsequent child, cf. paragraphs 7.1 and 9.2.1.
- The allowance applies in general to the spouse who has the highest income. Unused parent allowance may be transferred to spouse. The allowance is also applicable to single parents.
- Lone parents receiving the transitional benefit only (and pensioners receiving the comparable benefit) do normally not pay income tax, according to a special "tax liability limitation schedule". Single persons qualified for the tax limitation rule, do not pay tax on net income below the threshold of NOK 92 100 (ordinary income including 2 per cent of net wealth exceeding NOK 200 000). Additional income faces a formal marginal tax rate of 55 per cent. Due to the basic relief, the actual marginal tax rate on personal income is normally 41.8 per cent ($0.55 \times (1 - 0.24)$). Also due to the basic relief, a single parent (with wealth not exceeding NOK 200 000) does not pay tax if the total income is below NOK 121 184 ($= \text{NOK } 92\,100 / (1 - 0.24)$).
- The tax limitation rule has no direct contribution to the social security system. But the basic relief is included and so is the possible deduction due to documented child-care expenses. The lone parent may also have additional income (e.g. income from work) and still be taxed with reference to the limitation rule (if this implies lower tax than the ordinary tax rules only). Only when the transitional benefit is zero, the single parent *has* to be taxed in accordance with the ordinary tax rules for income in class 2 (including the 7.8 per cent contribution on wage/unemployment insurance to the social security system).

10.1.2 The definition of taxable income

Two tax bases exist:

- Personal income, income from work and/or pensions (including unemployment benefits and lone parent transitional allowances) with no deductions, social security tax and surtax are levied on personal income.
- Ordinary income, taxable income of all types after deductions (for example interest expenses).

Central government taxes are levied on both personal income and ordinary income, whilst local tax is levied on ordinary income only.

10.1.3 The tax schedule

A total tax rate of 28 per cent is levied on ordinary income. This rate is divided into two parts: 16.2 per cent as local tax (county/state and municipality) and central government tax, calculated as 11.8 per cent of taxable income. The total of local and central government tax on ordinary income and net wealth may not exceed 80 per cent of ordinary income.

Central government surtax is levied on personal income. The surtax is a progressive tax with two brackets. Two classes exist, class 1 and class 2. See section 10.2.

NOK per year		Rate (%)
Class 1	Class 2	
Up to 381 000	Up to 393 700	0
381 000 – 800 000	393 700 – 800 000	12.0
800 000 +	800 000+	15.5

10.2 Treatment of family income

The tax unit is in most cases the individual (class 1), but joint taxation (class 2) is also possible and more favourable if one of the spouses has little or no own income. Lone parents are also entitled to class 2 (if they are not taxed according to the special tax limitation rule, cf. paragraph 10.1.1.). Approximately 90 per cent of the tax payers are taxed in class 1.

10.3 Social security contribution schedule

Contributions amount to 7.8 per cent of personal wage income and/or unemployment benefits, and 3.0 per cent of lone-parent transitional allowance and pension income. Pensions (including lone-parent transitional allowance) below NOK 121 184 are not subject to income tax and social security contributions, cf. paragraph 10.1.1, fifth bullet point.

Tax payers with personal income below NOK 29 600 do not pay social security contributions. Once wage income exceeds this floor, an alternative calculation is made where the contributions equal 25% of the wage income in excess of the floor. The actual contributions made would represent the minimum between the alternative calculation and 7.8 per cent of the total wage income.

11. Part-time work

11.1 *Special benefit rules for part-time work*

Any person works part time if he/she works less than the average working week for his/her own profession. To be eligible for an unemployment benefit, the person must have experienced at least a 40 per cent reduction in working time. The unemployment benefit will cover people in proportion to the days they do not work. The benefit period is the same as that for fully unemployed people.

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. Policy developments

12.1 *Policy changes introduced in the last year*

12.2 *Policy changes announced*

The Government will go on with the tax reform and inter alia continue to reduce the rate differential between labour and capital taxation, cf. the 2004 report.